Syllabus

Organizational behavior-definitions

Individual dimensions of OB-

Personality

Value attitude and job satisfaction

Motivation

Leadership

Chp1: defining concepts

1-Definitions

‘Organizational behaviour is a field of study that investigates the impact that individuals, groups and organizational structure have on behaviour within the organization, for the purpose of applying such knowledge towards improving an organizational effectiveness”.

The above definition has three main elements;

First: organizational behaviour is an investigative study of individuals and groups, second, the impact of organizational structure on human behaviour and the

third, the application of knowledge to achieve organizational effectiveness.

These factors are interactive in nature and the impact of such behaviour is applied to various systems so that the goals are achieved. The nature of study of organizational behaviour is investigative to establish cause and effect relationship.

OB involves integration of studies undertaken relating to behavioural sciences like

psychology, sociology, anthropology, economics, social psychology and political science.

Therefore, organizational behaviour is a comprehensive field of study in which individual, group and organizational structure is studied in relation to organizational growth and organizational culture, in an environment where impact of modern technology is great.

The aim of the study is to ensure that the human behaviour contributes towards growth of the organization and greater efficiency is achieved.

Organizational behaviour can be defined as – “the study and application of

knowledge about human behaviour related to other elements of an organization

such as structure, technology and social systems (LM Prasad). Stephen P Robins

defines “Organizational behaviour as a systematic study of the actions and

attitudes that people exhibit within organizations.” It has been observed that we

generally form our opinion based on the symptoms of an issue and do not really go to the root cause of the happening. Science of organizational behaviour is applied in nature.

Disciplines like psychology, anthropology and political science have contributed in terms of various studies and theories to the field of organizational behaviour. A leader should be able to communicate with his subordinate and keep them in picture as to the happenings in the organization. People promote organizational culture for mutual benefit. Politics is often used to create conflict with the aim of enlarging self-power base to the detrimental of organizational growth. Politics, in Indian context has made inroads based on religion, caste system in the decision making process which has led to formation of informal groups in the organization that often exploit the organization for fulfillment of personal goals at the cost of organizational goals. Conflict and manipulating power bases need to be handled in an appropriate manner to modify human behaviour and stimulate various individuals towards achieving higher productivity. Power dynamics plays a significant role in organization situations in different environment .

2-BEHAVIOUR MODEL FOR ORGANIZATIONAL EFFICIENCY

Organizational behaviour is a study and application of managerial skills and knowledge to people in the organization to investigate individual and group behaviour. Various concepts and models in the field of organizational behaviour attempt to identify, not only the human behaviour but also modify their attitude and promote skills so that they can act more effectively. This is done scientifically; therefore, organizational behaviour field is a scientific discipline. The knowledge and models are practically applied to workers, groups and organizational structure that provide tools for improved behaviour and dynamics of relationship.

The field of organizational behaviour also provides various systems and models for international relationship that are applied to organizations.

Leaders must look for indicators (effects) of individual behavior and of groups in any organization. Indicators have a root cause beneath. As a leader, it is that symptom, which must be evaluated, and cause of human behaviour established so that if the behaviour is good, the manager can establish the norms of behaviour. If the behaviour is not conducive to achieve the organizational objective then suitable alternative model can be applied to

channelize individual behaviour towards an appropriate organizational value system and thus individual behaviour modified. An organization has three basic elements namely, people, structure, and technology. An organization must have suitable organizational structure, with appropriate number of tier and reporting system properly explained.

Principle of unity of command, delegation of authority and responsibility, formulation of objectives and its allotment to various groups is very important so that workers achieve a required level of job satisfaction. They must be trained to handle sophisticated machines and equipment. It is the people, their value system, and faith in the leadership that make an organization. Leader must be able to describe, understand, predict and control individual behaviour in the organization.

Describe: Study of organizational behaviour is based on scientific methods, which

have been applied on human beings. It is a science, that analyses as to how people

behave in different situations in the organization. A manager should be able describe the behaviour of each of the individuals under his command, identify attitude, and be able to pinpoint his behaviour so that the situation in the organization is under control.

(b) Understand: Leaders must understand human behaviour as to why people behave in particular manner and try to identify reasons so that corrective actions can be taken.

(c) Predict: By frequent closer interaction, a leader is in a position to identify the nature of workers. Some are more productive while the others are tardy and disruptive. In such situation, a leader should be able to handle each individual differently so that his or her actions can be channalized to higher productivity.

(d) Control: Managers in the organizations should train their subordinates continuously; aim being development of skills, promotion of productivity and improvement of individual behaviour. It is a continuous process on the part of manager. He must lay down control measures so that the energy of workers is diverted towards organizational objectives. Communication should be used to ensure that the behavior of individual is controlled. Environment has a great impact on human behaviour.

Appropriate internal environment would help organizations to built favourable work environment that will help individuals and groups within organizations to work effectively towards higher productivity.

3-Organizational Components that Need to be Managed

a-Structure

There are two types of organizations, formal and informal. Informal organizations do not have a specified structure. Formal organizations are build based upon the objective set for it. Organizational structure in such organization is hierarchical in nature, with people at each level having their own objectives, which contributes towards fulfillment of over all organizational objectives. In such organization people at lower levels report to higher level managers. The tier system has the principle of unity of command inbuilt in it. The organization structure may depend upon the size, number of products/services produced, skill and experience of the employees, managerial staff and geographical location of the organization. An organization may have several levels and pyramid like organizational structure or flat structure. The efficiency of the organization will depend upon the free flow of the information, efficient communication system prevailing in the organization, well-defined authority and responsibility supported by detailed policies, rules and regulations.

The organization must have well laid out systems, which are understood by workers, supervisors and managers. The leader must keep open mind while dealing with subordinates and exercise full control over various systems, levels and ensure planned productivity and achieve high level of job satisfaction.

b-Technology

Managing technology is an important job of any management. It is an important element of any unit. Selection of technology, procurement, installation, operation and maintenance is important and no compromise should be made in procuring latest or advanced technology.

Various systems and sub- systems should support technology that exists in an organization. Based on the technology, an organization should formulate job structure and resultant procurement of human resource so that they are complimentary to each other.

Adequate attention is also be paid to service industry. For example an appropriate drill, procedures are installed in hospital industry to ensure that the patients' record is maintained properly. On line operations of all systems relating to admission record, past treatment, drugs, availability of beds, schedule of operations maintained so that the level of patients satisfaction is raised. In minimum number of days, maximum numbers of patients should be treated. Various processes required to regulate these functions form the important part of service industry.

c-Jobs

Job is an assignment assigned to an individual. It encompasses various tasks within it. For example, Personnel manager wants to fill up twelve vacancies in production department within three months. Job will have various tasks inbuilt in it like designing of job specification, selection of media, advertising vacancies, scheduling of selection and recruiting process. Manager, therefore have to manage various tasks to accomplish a particular job.

This may form a part of managerial functions. Adequate delegation, supervision, application of various control techniques makes the job simpler for the manager. Introduction of computers

have made managerial functions simpler, as required information is available for decision making.

d-External Environment

What we have so far discussed is various components of an organization that should be managed properly. External environment also plays an important role in managing the points discussed above. When we talk about managing people in the organization, what we have to study and manage is the influence of culture and its impact on the individual. A manager should examine as to how he is going to cope up with the changes. Study of external environment is very wide and encompasses economic, cultural, social, government rules and regulations, legal aspects, political climate, demographics and its impact. If one scans the external environment that is prevailing in Indian context, one will find that individuals are racing to catch up the upper class as it relates to standards of living, material possession, higher education, attempt to copy western culture, food habits, dressing pattern and the like. Beauty parlors, pubs and cyber cafes around each corner are an ample evidence of the impact of external environment. This trend has an impact on what products or services are on priority in the society and indicates the behaviour of an individual. If the above factors are evaluated appropriately, a manager will be able to examine and predict human behaviour in the organization. It is therefore important to evaluate market situation, competitors, and availability of raw material, technology, availability of skilled, semi skilled and non-skilled personnel. In addition, evaluate prevailing culture and how individuals are likely to respond to the call of the organization. Some factors like government rules, and political stability keep changing, the organizations must cater for such contingencies.

Manager must therefore keep in mind the internal and external

factors and make the best amalgam and work to achieve organizational effectiveness to understand, describe, forecast and modify individual behaviour. Lot of studies have been undertaken in the field of organizational behaviour and vast literature is available, which need to be studied by practictioners in the field of managing human resources.

Various models and research instruments are available to investigate human behaviour.

Various fields like psychology, social psychology, anthropology, sociology, politics, economics, and medical sciences have contributed to the field of organization behaviour. Various models in the above fields have enriched the study of organization behaviour. It is the field of study that investigates the impact on individuals, groups and organizational structure have on individual behaviour so that the knowledge so achieved can be suitably modified and applied for organizational effectiveness. The study of organizational behaviour relates to the study of attitude, perception, learning, values at individual level. The study is undertaken pertaining to managing stress, conflicts, intergroup behaviour, decision making at group level. Management of change, development of organizational culture, designing and redesigning of jobs, and various organizational development strategies are required to be undertaken by leaders for organizational effectiveness. It is the responsibility of the managers to evolve appropriate strategies to study organizational components. The first component is people. The study of organizational behaviour involves identifying need spectrum of the people, managing interpersonal relationship, understanding of individual objectives and co-relating organizational strategies accordingly. The second component is understanding of organizational structure and its modification based on the need of the hour. Manager should decide upon the nature of structure and

ensure unity of command, number of levels that may be required for effective command and control. Communication, delegation of authority, well defined policies, rules, regulation, systems, procedures and processes. Introduction of latest technology is an essential part of organizational development that should be taken care of by the manager responsible for running the organization. Jobs should be allotted to the individual based on the aptitude and the processes must be compatible with the technology being used. One of the most important components is environment. While internal environment relates to various personnel policies and corresponding managerial actions, the external environment relates to cultural, social, legal, and governmental rules and regulations that should be taken care of. Technological changes has made it imperative on the part of managers that they should take care of employees and meet their social expectations so that organizational goals can be achieved.

4-Related theories

a-Elton Mayo theory

It Concluded that

1. Individual behaviour and sentiments are closely related.
2. Group influences significantly affected individual behaviour.
3. Group standards established individual output.
4. Money was less a factor in determining output.
5. Group standards, group sentiments and security provided by the group were responsible for higher productivity.

Elton Mayo made a new beginning on human factor in functioning of the organization and attainment of organizational goals. Hawthorne studies have proved that experiment and behavioral research can play a vital role in management and decision making.

Mayo's contribution will ever be remembered for its contribution to the behavioral approach to management.

b-Dale Carnegie theory

Dale Carnegie published his work on "How to Win Friends and Win People. The theme of his work was to achieve success through winning the co-operation of others. He proposed four principles:

. Make others important through a sincere appreciation.

. Strive to make good first impression.

. Win people to their way of thinking and by "Never telling a man that he is wrong".

. Change people by praising their good traits and giving the offender the opportunity to Save face.

c-Need Hierarchy Theory-Abraham Maslow

Abraham Maslow's original work of needs theories was undertaken with the rehabilitation of people in mind. Today, the need hierarchy theory of Maslow is often quoted and used in management to motivate workers. Maslow's theory generally state five needs of human beings Viz, Physiological, safety, belonging, (Social) esteem and self-actualization. One thing that must be remembered is that the original hierarchy needs theory has six needs.

Maslow called them "Meta" needs, comprising a range of different needs such as 'cognitive' and 'aesthetic' which exists between esteem and self – actualization needs. Original theory of Maslow did recognized that peoples needs varied at different times, and in hierarchical order. Before a person enters to fulfill higher order needs he must achieve minimum two basic needs (Physiological and Safety). He further stated that needs do not disappear but its potency is reduced and the next higher order need takes

precedence, once that is fulfilled the next needs becomes dominating and so on. Needs which are commonly used in the theory and it's meaning is given below.

Physiological Needs – Decoration, Vibration, Temperature, Space, Noise, Gas, and

Canteen facilities.

Security Needs – Job description, regularity, role clarity, structure, communication,

safety report meetings, agreements, and contracts.

Social Needs – Joint Tasks, appreciation, sharing offices, recognition and team

membership.

Self – esteem – Being consulted, rank, success, achievement, encouragement,

recognition, pre-requisites.

Self – actualization – Personal or professional growth, autonomy, worthwhile job.

Maslow's hierarchy of needs theory can be applied to the individual's life span. In the early years of life a person is concerned about fulfillment of basic needs. But when a person takes up a job and experience independence, which is marked by crave for autonomy, he feels that he should be consulted and works to achieve recognition. Employees first want physical and job security later a suitable working environment, appreciation, job stability recognition, growth and autonomy. Thus making a full cycle of need beginning with physiological needs to self – actualization needs.

d-Theory X and Theory Y - McGregor

Theory X and Theory Y were introduced by Douglas McGregor based on two diagonally opposite views of human behaviour.

Theory X

McGregor assumed that average human being dislikes work and will try to avoid it if possible. Employees are lazy, they must be controlled, coerced and even punished to achieve organizational goals. Average employee do not accept responsibility and seek direction from their superiors. They lack ambition. McGregor therefore recommends organizations so structured that enable close supervision, tight control and mangers must exert energy to achieve organizational objective.

After Theory X, there were certain changes in external environment. Entrepreneurs took business seriously and on the scientific manner. There was industrial revolution; management practices were being applied in the business. Because of these changes McGregor prorogated Theory Y.

Theory Y

Theory Y suggests that average human being likes work and takes it as natural as play. Employees can exercise self-direction and self-control and given the proper working conditions, average person seeks responsibilities. McGregor felt that wisdom is widely spread among the employees and they are innovative and can take quality decisions. therefore it assumes that management must appreciate the potential among employees and adopt such management practices like delegation, job enlargement and management by objective. Management must appreciate the individual and organizational goals and create such environment, which is conducive for its attainment. Reward System, recognition and facilities for creativity should be provided.

McGregor in his theory displayed a total recognition of humanistic approach. He laid stress on delegation of authority, setting organizational objectives and leaving it to the employees to attain the same. He carried forward the behaviour approach proposed by Mayo, Maslow in mid. 20th century. McGregor's theory Y is as valid today as it was 50 years ago.

Chp2:Individual dimensions of organizational behaviour

1-Foundation of Individual Behaviour

Individual behaviour is influenced by various factors. We will study those personal factors, which has influence on productivity, job satisfaction, absenteeism and turnover.

Personal Factors

Biological and individual factors Emotional Intelligence Learned characteristics

Physical attributes Personality

Age Perception

Gender Attitude

Marital status Values

Number of dependants

Ability

Tenure/experience

Personal factors having influence on productivity job satisfaction

2-BIOGRAPHICAL CHARACTERISTICS

a-Biological and Individual Factors

There are certain factors which are inherited by an individual. A person inherits physical appearance, way of talking, analyzing, and taking initiative in a group. Physical attributes of a person are important in work environment. If a manager is able to identify these factors he will be able to deal with each of individual employees effectively. These factors are as under:

(a) Age: Age is one of the important factors to generate productivity. The relationship between job and performance is an issue of increasing concern. Younger employees are expected to be more energetic, adventurous, ambitions and risk takers. On the other hand old people are considered to be more conservative, having slow speed of work and are less adaptable. Job performance and turnover declines with increasing age and therefore less job opportunities, hence there are less of

resignation. Older people generally get higher wages, longer paid vacation and they stick on to the job because of pensionary benefits. However productivity is related to attitude and behaviour of employees irrespective of age factor. Speed, agility, strength and coordination reduces by age. Experience, the older employees enjoy is of a great significance, disadvantages caused due to declining age is off set by experience.

(b) Gender: Traditionally some jobs were reserved for females like nursing jobs. Over a passage of time, there is no gender differenciation between male and female. We observe successful female entrepreneurs working around the world. In the Indian defense services, the women fighter pilots had done a wonderful job during Kargil operations. They can undergo physical and mental stress and display exemplary capabilities. There is no gender difference for skills that are required for problem solving, analytical skills, competitive drive, motivation, sociability and learning ability. It has been established that women are more willing to conform to authority.

Men are more aggressive and have a greater expectations from the organization.

There is no difference in productivity and job satisfaction. Women absents more as compared to the men, this is because of the social responsibility and domestic problems. Women have to stay longer at home for child care, illness of dependents and the like. As far as turnover is concerned, there is no difference between men and women.

(c) Religion: Religion and culture play an important role in determining various aspects of individual behaviour. There is a great impact on individual who have been brought up in ideal religious culture concerning moral, ethics and a code of conduct. Religion and culture determine individual attitude towards work

and compensation.

Employees having high religious value are generally found to be hard working, honest, dependable, sociable, who can fit in the organization well. They are productive, innovative and think well of the organization.

(d) Marital Status: Marriage imposes increased responsibilities on an individual, therefore an individual desires to have a steady job. Married employees have fewer absences, lesser turnover and higher job satisfaction. Number of dependents is also a factor to be considered.

There is no clear cut information about the impact of marital status on productivity absenteeism, turnover and job satisfaction. Since marriage increases the family commitment, an individual do not change organizations.

b-Tenure

Tenure is referred to as experience. The impact of experience on performance is an issue which is subject to a lot of misconception and speculation. Work experience is considered to be a good indicator of employee productivity. Research indicates that experience and satisfaction are positively related. Seniority and experience is a better indicator of job satisfaction than the age of a person.

c-Ability

Ability is individuals' capacity to perform various tasks in a job. Ability is made up of two sets of skills:

(A) Intellectual skills or ability and

(B) Physical skills or ability. We are not created equals. It does not mean we are inherently inferiors to others. Everyone has strengths and weaknesses in ability.

What is important is to identify level of ability or skills and put it to optimum utilization to improve performance.

(A) Intellectual ability: It is an ability of a person that is required to do mental activities. Higher IQ is not necessary to perform the job successfully. For any high job a general level of intelligence is adequate. Intellectual ability can be further divided into the following skills:

(a) Number Aptitude: A person having number aptitude displays speed, accuracy and arithmetic inclination in the work. Such individuals can be best employed in accounts and sales tax departments.

(b) Verbal Comprehension: It refers to ability to understand what is heard or read. It is relationship of words to each other. People having verbal comprehension can be best employed as plant managers. They would be ideal to draft corporate polices.

(c) Perceptual Speed: It is an ability to identify visual similarities and differences.

Such individuals can be gainfully employed for investigative jobs.

(d) Inductive Reasoning: The ability is related to individual's skill to identify logical sequence in a problem and later solve the same. Such individuals can be assigned the job in research and development departments / organizations.

(e) Deductive Reasoning: The ability refers to use of logic and assess the

implications of an arguments. People with this skill can ideally foot the bill as supervisors.

(f) Spatial Visualisation: It is an ability to imagine how an object would look if

its position in the space were changed. Interior decorators have

this skill.

(g) Memory: It is an ability to recall past experience. Sales persons depend upon

this ability in performance of their job.

(B) Physical Ability: Physical ability refers to strength factors which includes dynamic strength (muscles force), trunk strength (abdominal muscles), static strength (exertion of force against external object) and explosive strength. Other factors relate to body coordination, balance and stamina. It is the responsibility of the manager to identify physical skills in the individual and assign them suitable jobs commensurate with their ability. High importance of physical skills are given in police, railways, defense, revenue and agriculture fields where various skills are

important. In industrial setting, it must be ensured that ability is co-related to the job requirements so that an optimum output is achieved.

3-Learned Characteristics

1. Personality: Personality is sum total of ways in which an individual reacts and interacts with others. It is a dynamic organization within an individual of those psychological systems that determine his unique adjustments with his environment. It is the charm, positive attitude, smiling face, growth and the development of a person that adds to personality.

Personality is greatly influence by the environment that a person has been brought up and the factors of heredity.

(a) Environment: It refers to culture in which a person is raised. Culture establishes norms, values and attitude that are passed on to generations. Early conditions, norms in the family, friend and

social groups and other influences that are formative of personality.

(b) Heredity: Heredity is transmitted through genes that determine hormone balance and leads to physique formation which shapes personality. Heredity refers to those factors like physical stature, facial attractiveness, sex, temperament, muscle composition, reflects and energy level. Heredity is made up of biological factors.

Traits like shyness, fear and distress are passed on to generations. Traits are characteristics of an individual when exhibited in large number of situations. More consistence and more frequent occurrences in diverse situations, the more predominant the trait in an individual are. Common traits found in a person are shyness, aggressive, submissive, laziness, ambitious, loyal and timid. Perception is the process by which information is interpreted in order to give meaning to the world around us. Different people perceive the same thing differently. It should be noted that we should evaluate each situation / individual carefully before forming an opinion. Perceptual errors should be avoided perception will be studied in greater details in the subsequent chapters.

(c) Attitude: Attitude is a tendency to act/think in certain ways either favorably or unfavorably concerning objects, people or situation. For example, If I say I am satisfied with my job, what actually I am doing is expressing my attitude towards the job. An attitude is the way a person feels about a person, a place, a thing, a situation or an idea. Attitude could be positive or negative. Attitude can be measured either by observing the action of the individual or simply asking him the questions

about how he would behave in a particular situation.

(d) Values: Values are beliefs that guide actions and judgments across a variety of situations. Values represent basic convictions

that a specific mode of conduct is personally or socially preferable to an opposite mode of conduct. Values are of two types, terminal value that are ultimate values like freedom, salvation, truth and non-violance. Instrumental values relate to means for achieving ends. It is a tool for acquiring terminal values. For example obedient, capable etc.

Individual values are formed in the initial stages. They are influenced by the parents, teachers, friends and other social groups. Values vary from person to person. Values help in understanding the attitudes, and motivational level of the individuals. It helps to change the individual behavior. Values are of a great help to determine as to what is good and

what is desirable. Values are so strong an instrument that it at times ulter rational decisions. An organization having right value system have greater chances of growth.

4-DEVELOPING AN ORGANIZATIONAL BEHAVIOUR MODEL (OB MODEL)

Objective of model development is to understand human behaviour, predict and control the same. The behavioural approach is used for controlling human behaviour as individuals and as a group, to measure organizational effectiveness.

Most of the management experts have accepted only four independent variables i.e. productivity, job satisfaction, employee turnover and absenteeism. Let us briefly study these factors:

a-Productivity: When we decide to study productivity, actually what we want to know is the factors that would influence high productivity. The study reveals that it is effectiveness and efficiency of individual, groups and organizational structure that have a positive impact on productivity. It should therefore be an endeavour of any organization to introduce such management

practices, which will enhance job satisfaction level of an individual group and organization as a whole. Productivity can be measured in terms of number of items produced by an organization or percentage of profit earned at the end of the production cycle or financial year. It can also be measured by output of production per hour. In case of service industry like hotels or hospitals, occupancy of suites in a hotel on daily basis and turnover of patients per day can express the productivity of the service organization.

b-Job satisfaction: Job satisfaction can be explained as a general attitude towards one's job. Job satisfaction is the difference between the amount of rewards workers receive and the amount they believe they should receive. It is a difference between material/money gains in terms of wages, salary and expectations. Job satisfaction sphere can be enlarged to promotion, organizational policies and its implementation, wage structure as compared to the industry norms. Job satisfaction is important because it displays demonstrated relationship to performance and value preferences. Job satisfaction is an attitude rather than a behaviour. It is negatively related to absenteeism and employee turnover. Challenging jobs should be provided to the employees and total quality management of workers is undertaken. Higher management must take quality decisions, which has an equal bearing on quality production. Organizations should evolve such policies that would increase the satisfaction level of employees and must count on intrinsic value that employees believe in.

c-Absenteeism: Absenteeism refers to individual absenting himself from the job or work place without any notice. While leave is also absenteeism but it is a forewarned phenomenon. In the work-setting, a supervisor is expected to be aware of individuals proceeding on leave in advance so that adequate measures are taken to hire individual in place of the person proceeding on leave.

When an individual is not happy with his work, he generally absents himself. Apart from causing personal loss in terms of wages, it also causes great amount of inconvenience to the organization and hampers work schedule and productivity. If an organization works on a process manufacturing like bottling plant, the link of process is disturbed due to the individual being absent and a substitute is required to be hired at the last moment, who may not be skilled to do the job. If a large number of individuals are absent at any one time, the quality of product is reduced because of poor quality of individuals hired. Even a situation may arise to shut down a plant when absenteeism is at an optimum degree.

d-Turnover: Turnover of employees could be voluntary or involuntary. Voluntary turnover takes place when an individual leaves an organization to join another, where he believes that there may be better prospects or opportunities for growth. Apart from the above, an individual may leave the organization purely on administrative grounds like new organization being close to the residence, availability of schools in the new area etc. Involuntary turnover refers to permanent withdrawal of an employee from the organization at the organization's will. This turnover may be planned or unplanned. Persons leaving organization on retirement is a planned turnover because the management knows well in advance as to the date of retirement.

5-Independent Variables

The independent variables influencing the organizational behaviour are as under:

(a) Individual Variables: Individual has value system which is exhibited by him through his personality. Apart from this he has preferences, attitude, ego and learning. All the variables influences the work environment. Managers do not have control over the

individual behaviour. The knowledge of these factors is important as it has direct bearing on the organizational effectiveness and growth. These factors have a direct impact on productivity, job satisfaction, turnover and absenteeism.

(b) Group Variables: Group variables are important factors influencing organizational behaviour. A group has a deciding impact on various events in the organization.

The contribution of people in group is more than the sum total of individual contribution made to the organization. Study of group behaviour is carried out under several concepts like group dynamics, group decision making, power politics, leadership inter-group and intra-group behaviour, conflict management. All these variables are studied so that the energies and skills are diverted towards goal achievent in the organization

(c) Structural Variables: Structural variables are related to command and control reporting channels, specilisation, training and development, organization development and other variable pertaining to organizational make up, job design procurement and utilization of organizational resources. If organizational structure is flat, the people would be accountable and more responsible. Formal and informal organizations have its merits for contribution to the organization.

6-TYPES OF MODELS OF ORGANIZATIONAL BEHAVIOUR

a-Fuedal Model: Feudal Model treats employees inferior. The concept is based upon Theory X where actions, polices and procedures are considered superior to human beings.

In fuedal model employees are treated sternly and hire and fire principle is applicable in the organization. A fear psychosis is created among the employees. These models have been practiced world over by various organizations where people have been laid

off for cost cutting. Employee desires, value, emotions are not considered pragmatically by the organizers. People are treated as another resource for all purposes.

b-Autocratic Model: Autocratic model is based on the concept that managers are superior.

They have power to hire and fire any employees. Managers words are considered final. Autocratic model believes in power and authority of the manager. Employee have to obey the orders of the boss. Autocratic model proposes that minimum employee needs are met.

It believes that higher salaries given to employees is sheer waste of resources as they spend money for unproductive needs. Individuals are controlled by the managers based on official authority and power attached to it.

c-Custodial Model: Custodial model imply that owners are custodian of resources in the organization and they are bound to look after the welfare of employees. It considers that assets of organization belong to industrialist, managers and employees in equal measures and that nobody has monopoly rights. Employees are given opportunities to bring their problems to the notice of the employer and it is the duty of the latter to solve the same. Redressal of grievance procedure exists in the organization.

d-Supportive Model: Employees are considered active workers who have their value, attitude, desire, and preferences. Leaders use attitude and value system of employees to motivate them. Supportive model believes that employees are active and with ideal environment and support, they can use their energies and skill for higher productivity of the organization. If employees are given opportunities they can increase their capacity to do a particular work. Owner has to provide and support various

activities for individual, group and organizations. The employees should develop sense of belonging and feeling of participation in over all organizational growth. The model does not support the custodial model concept where money is considered as motivating factor. Employees get opportunities for recognition. They develop positive outlook towards work culture. Managers and workers participate together in the development of organization while achieving development of their own skills.

e-Collegial Model: Collegial model refers to body of persons having common objective.

The basis of the model is the partnership of the employees with owners. The emphasis is on team management between workers and owners. Employees are given responsible and trustworthy jobs. They are self-disciplined and self-motivated. Managers and workers have similar activities, work environment and understanding. Managerial cadre is not considered superior to the employees. They contribute jointly rather than bosses or leaders.

They have to develop as a team with employees and impress upon quality and performance.Combined efforts contribute to the growth and performance of the organization.

f-Human Value Model: The natural process of behaviour is Stimulus, Organism, Behaviour and Consequence. It is generally known as SOBC. Every organization should provide enough incentives in the form of intrinsic and extrinsic stimuli. Intrinsic stimulus is achieved by encouraging individuals by recognition, empowerment, delegation of authority, better inter-personal relations and cognitive behaviour in general. Extrinsic stimuli refers to economic incentives in the form of reward for the job done. It is monetary in nature and are exercised for influencing organism of employees. The aim of these incentives are to stimuli the employees in the desired direction so that productivity and

growth is achieved.

g-Contingency Model: Contingency model of organizational behaviour refers to complex variables that influence individual, group and organizational structures. Contingency model is designed to meet the contingent situations like management of conflict, handling of stress, achieving growth and managining the complexities caused due to changes in organization structures. In the contingency model relations between manager and employees are based on co-operation, trust and desire of well-being. Promotion to employees are assured. No distinction is made between specialist and non-specialist. It is also known as the hybrid model where long term employment is assured to the employees.

Chp 3: personality and learning

I-PERSONALITY

1-Determinants of personality

Personality is determined by heredity, environment (culture) and situation under which

an individual works. This is shown in diagrammatic form in Figure 4.1. Let us study these

concepts.

a-Heredity

Heredity is transmitted through genes, which determine hormone balance, which later determine physique and subsequently the personality. Heredity refers to acquiring from parents certain biological, physical and psychological commonalities, which are further reflected in physical stature, facial attractiveness, sex, temperament, muscle composition and even reflect. They often decide energy level. These factors have a deciding influence on how a person in an organization would display his reactions in a particular situation.

b-Environment

Every individual is born and brought up in a particular environment. Environment leaves an imprint on the personality of an individual. It is commonly seen that a doctors son preferring his father’s profession and a child of a soldier entering into Defence Services.

More advanced the socio-economic conditions of the society more would the children be forward thinking. Environment should be viewed from the point of view of norms, ethics and value that are observed and the attitude displayed by the social group.

c- Situation

Individual has to interact with number of problems in a given situation, which does not remain constant. It is subject to change and hence fluid in nature. There is therefore a need to recognise the person-situation interaction. It can be social learning activity of personality. Thus personality is situational, the uniqueness of each situation and any measure of personality must be examined.

2-PERSONALITY ORIENTATION

aAchievement Orientation

Achievement orientation of an individual also indicates the personality of an individual.

Every person possesses need to achieve (nAch) phenomenon in his personality. It could be high degree nAch or low degree. A person who possesses high nAch displays very dominant personality. He is generally very ambitious, hard working and fixes his goal at a very high level and strives to achieve the same. He is achievement oriented and undertakes a task which is neither easy, because easy task is generally attained by a common person nor a very challenging or tough task because there would be chances of failure of achieving the same. He therefore prefers to undertake task of intermediate nature so that its achievement would satisfy him to a large extent and he would feel that he is above than the normal individual. People having high nAch are found to be good organizers, efficient managers.

Sports persons are generally high achievers as they strive to achieve that extra point or mark than his competitors. High nAch generally do well as sale persons as it calls for hard work and achieving higher targets of sales every time.

b. Authoritarianism

Close to the personality trait that a person possesses who is achievement oriented is a person who believes in having a reasonably high authority in the organization Theory of Leadership and entrepreneurship.

authoritarianism is related with status and power. The theory states that there should be status and power difference between various people in the organization. While there would be some people who will have more power and authority hence more authoritative yet there would be people with low power and authority hence minimum degree of being authoritative. One would therefore find in an organization, people with low authority and high authority. Person who possesses high authoritarian is intellectually rigid, they display varied behaviour patterns. They are submissive with those who are superior (senior) to them and behave in an exploitative manner to those who are subordinates or below them. They resist change and display insensitivity while dealing with people. They are task oriented.They resist change

3-Types of Personality

Type A: People having Type A personality are always moving, walking and eating rapidly.

They feel impatient with the speed the events take place. They always strive to do two or three thing at any one time and cannot cope with leisure. They are generally obsessed with work involved with numbers.

Type B: People possessing Type B personality never suffer from sense of urgency and take thing as it comes coolly. They do not discuss achievement and leave it to the superiors to identify it. People having B type of personality play for fun and relaxation rather than to show off. These people have the tendency to relax

without guilt.

Furthermore, neurotic individuals have been shown to have lower resistance to stress and spend more time ruminating about illnesses (Ozer and Benet - Martinez, 2006). In essence, those with lower levels of emotional stability experience higher rates of actual illness and

are more vulnerable to illness due to how the trait shapes the person's reaction to illness.

Goodwin and Friedman (2006) extended these findings by reporting both conscientiousness and emotional stability are related to significant reductions in the likelihood of a wide range of mental and physical disorders among adults in the general population.

II-LEARNING

1-Theories of Learning

a-Classical Conditioning – behaviourist theory

"Classical conditioning can be defined as a process in which a formerly neutral stimulus when paired with an unconditional stimulus, becomes a conditioned stimulus that illicit a conditioned response. (Luthans 1995)

Ivan Pavlov a psychologist who won Nobel prize introduced classical conditioning theory.

The experiment envisaged dog as a subject. Pavlov carried out this experiment in three sequential stages. In stage one, he presented meat (unconditional stimulus) to the dog.

He noticed a great deal of salivation (unconditional response). In stage two he only rang up the bell (neutral stimulus), the dog had no salivation. In stage three, Pavlov was to accompany the offering of meat to the dog along with ringing up of bell. After doing this

several times, Pavlov rang up only bell (without offering of meat to the dog). This time the dog salivated to the ringing up of bell alone. Pavlov concluded that the dog has become classically conditioned to salivate (response) to the sound of the bell (stimulus). It will be seen that the learning can take place amongst animals based on stimulus – response (SR) connections. The study was undoubtedly single most famous study ever conducted in behavioural sciences. It was a majorThis stimulus – response connection (S-R) can be applied in management. break through and had a lasting impact on understanding of learning.

b-Cognitive Theory – Cognitive Approach

Edward Tolman was recognized as pioneer of Cognitive Theory. The theory consists of relationship between environmental (cognitive) cues and expectations. He used white rat in his psychological experiment of Cognitive theory. He found that the rat could run through critical path with particular intention of getting food (goal/objective). In the experiment, Tolman established certain choice points where expectations were established. The rat learned cognitive cues at various choice points, which would raise its expectation to move forward to the objective (food). Thus the rat turned to acquire food, based on relationship of Cues and Reward or expectations. This theory was later applied on human resources where incentives were related to higher performance.

c-Social Learning – behavioural approach

Social learning approach is a behavioural approach. The approach basically deals with learning process based on direct observation and the experience. It is achieved while interacting with

individuals. In social learning people observe, alter and even construct a particular environment to fit in the social behavioural pattern. Individuals learn a great deal from watching attractive models and they copy their behaviour and display the same leadership.

In addition to predicting task, citizenship, and counterproductive behaviors, emotional stability and conscientiousness also predict many other important work outcomes that cannot be neatly categorized into one of these three performance categories. For example, Judge, Bono, Ilies, and Gerhardt (2002) conducted a meta - analysis of the relationship between the personality traits and leadership (using a criterion that consisted of both leader emergence and leader effectiveness). Their results showed that both conscientiousness and emotional stability were generalizable predictors of leadership (as were extraversion and openness to experience). Further, both conscientiousness and emotional stability have been shown to predict entrepreneurial status (Zhao and Seibert, 2005). Although entrepreneurial activity involves leadership, it is " unique " as the context differs by involving a start - up or rapidly growing firm. Children copy the behaviour of their parents, adults, and copy cinema actors/actresses in various styles. Social learning is practiced in organizations by observing various cultural, and social practices.

Chp4: value, attitude, job satisfaction

I-VALUES

1-definition of VALUES

Is racial discrimination right? Is quota in education institutes and government jobs right?

The answers to these questions are value laden. Somebody will say positive while the large number of people may be against it. Values are beliefs and are defined as beliefs about what is desirable and “good” (freedom of press) and what is undesirable or bad (dishonesty). Value represents basic conviction that “a specific mode of conduct or end state of existence is personally or socially preferable to an opposite or converse mode of conduct or end state of existence”. A manager who believes strongly in the work ethics will tend to voice attitudes towards workers or work practices as a means of reflecting this value and say “you got to work harder, that has been the custom and tradition of the organization and reason for being in the present position”. Value has contents and conviction element. Every person has value inbuilt in him; it is faith that he deposes in certain ethical aspects. The list of such values is endless, nonetheless a person has hierarchy of value system. It is nothing but various values that he nurtures and its relative importance, which can be called as content and intensity. Value system is identified by the relative importance we assign to various values such as truth, non-violence, equality and so on.

Values are stable. They are genetically inherited to a large extent of the total value possessed by and individual. Balance is environmental. They are stable in nature and do not change. If you like non-violence, or equality, you would always tend to live in

peace, preach peace and give equal opportunities to your subordinates.

Value is important in the study of science of human behaviour. Value will dictate attitude and human behaviour in the organization. Organization culture plays a dominant role in the productivity of the organization2. Culture is formed by value system practiced by all employees. If promotion is related to the performance, the workers would put in the hard work. On the contrary if promotion is based on seniority the efficiency of the individual will be drastically reduced. Value and culture therefore plays a decisive role in motivation and employee productivity.

2- Types of Values

1. Allport and associates described six types of values. These are discussed briefly as follows:

(a) Theoretical value: Theoretical value is related to importance and discovery of truth through rational approach. If all the employees practice truth in true sense, the organization would operate itself and there won't be any need for supervision.

Truth is such a powerful value that the British Empire had to leave Indian soil.

(b) Economic value: It emphasises usefulness and practicability of resources, efforts put in by individuals and the consequent value derived there from. If the project is economically viable (in a very large sense) then it can be undertaken. Economic value is appreciated from a very broad sense and it spells apart from economics of the issue. It also adds human value to it when it is considered. It is the human aspect, which makes economic value enlarged.

c-Aesthetic value: It is form of Harmony. We believe that all work must be done in a smooth manner and that there is mutual

understanding and sense of participation among all human elements. Aesthetic value is displayed by cordial relations between various levels of organization, effective communication, conflict free atmosphere and very congenial work environment The work in organizations, which has aesthetic value system among workers, is done in harmony, peace and participation of one and all.

(d) Social value: Is related to love of people, sense of belonging and an attitude of 'we'feeling. Such value is very important in the organization that brings together the employees which are bound by a sense of participation that leads to high level of motivation and high productivity.

e-Political value: It refers to power and influence in the organization. Right people must be placed at the right positions so that they are able to influence the people.

(f) Religious value: As name suggest it is related to display of value which would bring unity and understanding amongst the people in the organization based on common religious platform. This value is no more is being preached in organization as cross section of people are now working in organization world over. However, the positive impact on work environment in the organizations cannot be underestimated based on religious value.

II-ATTITUDE

1- Definition

According to G.W. Allport, "Attitude is a mental and neutral state of readiness organized through experience, exerting a directive or dynamic influence upon individual's response to all objects and situations with which it is related."

Krech and Crutchfield defined "attitude as an enduring organization of

motivational, emotional, perceptual and cognitive processes with respect to some aspect of the individual's world".

According to Katz and Scotland, "Attitude is a tendency or predisposition to evaluate an object or symbol of that object in a certain way". In effect attitude is used in a generic sense, as to what people perceive, feel and express their views about a situation, object or other people. Attitude cannot be seen, but the behaviour can be seen as an expression of attitude.

2-Components of Attitude

(a) Cognitive component: Cognitive component of attitude is related to value statement. It consists of belief, ideas, values and other information that an individual may possess or has faith in. Quality of working hard is a value statement or faith that a manager may have.

(b) Affective component: Affective component of attitude is related to person's feelings about another person, which may be positive, negative or neutral. I do not like Maya because she is not hard working, or I like Mina because she is hard working.

It is an expression of feelings about a person, object or a situation.

(c) Behavioral component: Behavioral component of attitude is related to impact of various situations or objects that lead to individual's behaviour based on cognitive and affective components. I do not like Maya because she is not hard working is an affective component, I therefore would like to disassociate myself with her, is a behavioural component and therefore I would avoid Maya. Development of favourable attitude, and good relationship with Mina is but natural. Individual's favourable behaviour is an outcome of the fact that Mina is hardworking. Cognitive and affective components are bases for such behaviour. Former two components cannot be seen, only the behaviour

component can be seen. Former is important because it is a base for formation of attitude.

3-Types of Attitude

Job satisfaction: Job satisfaction is related to general attitude towards the job. A person having a high level of satisfaction will generally hold a positive attitude while dissatisfied people will generally display negative attitude towards life. When we talk about attitude, we generally speak about job satisfaction because they are inter-related in organizational behaviour.

Job involvement: Job involvement refers to the degree to which a person identifies himself (psychologically) with his job, actively participates and considers his perceived performance level important to self-worth. (Robbins) . High level of involvement indicates that the individual cares for his job, that has an impact on high productivity. Higher the job satisfaction, lower will be absenteeism and employee turnover.

Organizational commitment: Organizational commitment refers to degree to which an employee identifies himself with the organizational goals and wishes to maintain membership in the organization. He wants to “belong” to the organization and take an active part in the its functioning. Absenting or resigning from the job versus job satisfaction is a predictor of organizational commitment. The concept has been very popular in the recent times. Organizational commitment depends upon job enrichment factor and degree to which the workers enjoy autonomy and freedom of action while performing.

III-JOB SATISFACTION

The study of Job satisfaction is one of most important factors in the study of human behaviour in the organization. Job satisfaction

focuses on employee attitude towards his job. It has three important dimensions:

(a) Job satisfaction can be measured by the emotional response to a job situation, hence it cannot be seen, and it can only be inferred.

(b) Job satisfaction is related to what you actually get as reward and what you expect to get. If the difference between the actual reward and expectation is minimum or negligible them a person will display a positive attitude and if there is wide difference between the two, a person will display a negative attitude towards his job and therefore the satisfaction level will be low.

(c) Job satisfaction is related to job dimensions. These can be expressed in terms of job content, remuneration, attitude of co-workers, and opportunity of growth that job is able to provide in terms of promotion and last but not the least the expert loyal and experienced leadership is available in terms of supervision

1-Factors determining job Satisfaction

There are number of dimensions which effect job satisfaction. Value system possessed by an individual and the culture supporting the value system in the organization can be

called as an important and basic for job satisfaction. However some of the important

factors that determine job satisfaction of the employees in the organization is as under: -

a. Work Content: Content of the work itself is a major source of satisfaction. The work must be challenging. It should lend itself opportunities to use employee skills, ability and experience. The content of the work should be encouraging and interesting and

have variety inbuilt in it so that it is not boring. Positive feedback from the job and autonomy has been considered to be important for motivation of employees. Too tough or job having two little challenge brings frustration and feeling of failure hence the job should be moderately tough so that the individual has to stretch his ability, imagination and skills. Once such job is completed successfully, the workers get a great sense of satisfaction.

b. Pay and promotion policy: Salary and wages play decisive part in the study of job satisfaction. Equitable rewards is multidimental in nature. The benefits are of varied nature namely pay, perks and rewards are associated with motivation of employees. Pay system and promotion policy of the organization must be just, unambiguous and in line with the prevalent industry norms and employee expectations. Employee wages and salary must ensure him the social status and should be able to fulfill the expectations. Individual must perceive salary administration and promotion policy as being fair. Organization should ensure that their polices are growth oriented and incremental in nature so that employees take on an additional responsibility voluntarily. Apart from financial benefits, organization must provide adequate perks and non-financial benefits so that they are motivated and display high level of satisfaction.

c. Supportive working condition: Working conditions have a modest but lasting effect on job satisfaction. Due to fast development of technology, it is necessary that the organizations are operating on upgraded technology, latest systems and procedures. The layout of work place must be ideally suited from operational point of view and the employees should display great degree of satisfaction. The place should be neat and clean with necessary facilities as per Factories Act. Light, ventilation, cleanliness, enough space for work, immediate availability of supervision, adequate latest tools and generally good surrounding

will definitely add to job satisfaction. If the work place were closer to home, it would add to employee retention.

d. Work group: The concept of work group and work teams is more prevalent to day.

Work group of multi skilled persons with one goal will be able to function effectively if they are friendly and co-operative. The work group serves as a source of support, comfort, advice and assistance to individual worker. A good work group makes the job more enjoyable. The factor of work group support is essential for job satisfaction.

If the reverse conditions prevail, the people may not be able to get along with each other and the level of job satisfaction will be reduced.

e. Supervision: Supervision is one of the moderate factors, which affect job satisfaction. Qualified supervisors should be available for advice, guidance and problem solving. Supervisors should be placed close to the place of work and should be available. They should take personal interest in the affairs of employees both on personal and official level. Supervision is related to leadership. In Defence Services the leadership is so proactive that the leader carry on him details of each soldier under his command. The concept of supervision has changed. What is in vogue and in practice to day is self-serviced teams and work group. The group prefer more freedom of work in relation to work hours, time management, frequent breaks between work hours and autonomy as long as job is completed in time.

f. Personality job fit: Individuals should be assigned the job, that suit their interest.

Recently it has been seen that MBA graduates are satisfied with their job if they get the job related to the “specialisation” they have

chosen during the MBA degree.

Persons having analytical approach should be assigned job in R&D department so that their level of job satisfaction increases.

2- EFFECT OF JOB SATISFACTION ON PERFORMANCE

a. Satisfaction and productivity

Based on research carried out in Hawthorne studies, further research to prove that “happy workers are productive” was carried out, which has been proved negative. Based on the conclusion of Hawthorne studies, managers began their efforts to make their employees happier by improving work conditions, providing Laissez-faire type of leadership, expanding various facilities to the workers, but it has been found that there is no direct relationship between happiness and productivity. Robins concluded that productive workers are likely to be happy workers. Further research on the subject suggests that organization having happy workers might have increased productivity. On individual level it may not be true due to complexity of environment, work processes, various systems and sub systems having impact on the individual employee. But it can be said from organizational point of view that organization that are able to evolve such policies that make employees happy bound to have improved productivity. V.H. Vroom3. Productivity is considered as reward for hard work which is due to high level of satisfaction. However globalisation, speed of machines and knowledge explosion, impact of media on workers, social awareness and high expectations of employees to meet social obligations are important factors to ensure high satisfaction level of employees. While evolving industrial practices, above factors should be considered favourably and employee growth achieved so that organizations grow automatically.

b. Satisfaction and absenteeism

There is an inverse relationship between satisfaction and absenteeism. When workers are more satisfied the absenteeism is low. When satisfaction level is low absenteeism tends to be high. There are certain moderating variables like sick leave and degree to which people feel that their jobs are important. Where there is a provision for sick leave, employees would take the benefit and absent themselves. As far as the importance of work is concerned, it has been observed that people attend to their work when it is important to accomplish.

Employees having high satisfaction would not necessarily result in to low absenteeism but those having low satisfaction level would definately have high absenteeism.

c. Satisfaction and turnover

It has been found that employees who are not satisfied with their jobs will have high turnover. Employees who are satisfied will not have high turnover. Satisfaction is also negatively related to turnover but the co-relation is stronger than what we found in absenteeism. Employee performance is a moderating factor of the satisfaction—Turnover relationship. In recent times a phenomenon amongst the software engineers whose performance is high, their turnover has been noticed as high because of competition for personal growth. Organization lures the competent person for their organizational growth.

Organization cares for such high performers and their retention. Poor performers do not leave the organization for fear of lack of job opportunity outside. Dissatisfied workers may express their satisfaction as given in Figure 6.3 below. The responses are based on two dimensions i.e. constructive/destructive and activity/ passivity.

d-Organizational Commitment

Organizational commitment is defined as (a) a strong desire to remain member of a particular organization (b) willingness to exert high level of efforts on behalf of the organization, and (c) a definite belief in and acceptance of value and goals of the organization.

(R.T. Mowday, L.W. porter, and R.M. Steers)4. In other words, employees display an attitude of belonging to the organization, a sense of “MY” organization. They continue to do so even after they leave the organization. Of late a concept of organizational citizenship is used. It indicates a sense of belonging to a particular organization as if you were citizen of that organization, but it depends as to the contribution made by organization to have developed such feelings.

Chp5: Motivation

1-Definition:

Motivation is defined as “inner burning passion caused by need, wants and desire which propels an individual to exert his physical and mental

energy to achieve desired objectives”. Efficiency of a person depends upon performance. Performance can be expressed as under

Performance= Ability × Motivation

Motive: As per Burleson and Steiner, (1964) ‘motive’ is defined as “an inner state that energises, activates (or moves) and directs (or chanalises) the behaviour towards certain goals.”

Difference between motive and needs. Motive is a strong need which has a certain degree of strength that propels a person to act for its fulfillment. If the need or motive is not fulfilled a person remains restless and when fulfilled a person enjoys a certain degree of satisfaction. Certain amount of tension is harbored by a person when need exists.

Motivating: Managers must create situations wherein a person/ employee is stimulated to undertake activities, that may motivate him to achieve higher goals.

Motivation: Scot defined motivation as “a process of stimulating people to action to accomplish desired goals”. Mc Farland has defined “motivation as the way in which urges, drives, desires, aspirations, strivings needs direct, control or explain the behaviour

of human beings.

2- Characteristics of Motivation

(a) Motivation is a psychological phenomenon. It is the inner desire of an individual to accomplish something more. The very deficiency forces him to undertake certain amount of work. More is the individual motivated better the performance and organization relations.

(b) Motivation is a continuous process. Since need is a continuous phenomenon if one need is satisfied the other need emerges and so does individual propels to work and thus the continuous chain is created.

(c) Motivation is caused due to anticipated perceived value from an action. Perceived value is the probability or the expectancy. Therefore motivation=valance (value) × expectancy.

(d) There are unsatisfied needs. A person remains disturbed till they are satisfied. This disturbance or tension causes disequilibria in human behaviour. More the motivation level, the higher will be efforts to get over the tension and in the process job accomplishment would take place.

(e) Individual is motivated by positive motivation It refers to incentives offered by the organization to achieve efficiency. Incentive can be monetary like increase in pay, allowances, and payment of bonus. Payment for additional or overtime work. It can be non-monetary like issuing of certificates for excellence, awards, recognition, status, job enrichment, competitions, and the like. Monetary rewards prevent individuals from getting demotivated or they do not motivate so to say. However non-monetary awards motivates individual as it is related to the inner/psychological aspects.

3- Importance of Motivation

(a) High level of performance: It is the duty of every manager to ensure that the employees have a high degree of motivation. He should offer monetary and non-monetary incentives. Highly motivated workers would be regular for work, and have a sense of belonging for the organization. Quality of product will be improved, wastage will be minimum and there will be increase in productivity, and performance level will be high.

(b) Low employee turn over and absenteeism. Employee turnover and absenteeism is caused due to low level of motivation on the part of managers. When dissatisfaction is increased employees do not enjoy the work assigned to them. Therefore there is a tendency of absenteeism. The workers hunt for an alternative job and leave the organization whenever they get an opportunity. High level of absenteeism causes low level of production, wastages, poor quality and disruption in production schedules. Increased turnover is disastrous for any organization as it puts strain on financial position of the organization due to additional recruitment, selection, training and development.

Motivation is therefore a very important management tool to achieve organizational excellence.

(c) Acceptance of organization change. Management must continuously scan the external and the internal environment. There has been a great impact of. Social change and technology evolution on the motivation level of employees. Social change increases aspirations of workers and put an additional demand on the organization, which must be considered positively so that conducing working environment is created. Technical innovation, better working conditions, better R & D facilities, encouragement to employees and existence of better personal policies should be part of any organization.

This will facilitate retention of employees. Management must

ensure that the changes are introduced in the organization and its benefits explained to the employees so that there is no resistance to change and organizational growth is achieved. Re-engineering empowerment, job enrichment, job rotation, introduction of new technology and processes will go a long way to boost employee morale and achieve high degree of

motivation.

(d) Organizational image: Employees are the mirrors of any organization. Managers must lay down high performance standards coupled with high monetary and nonmonetary rewards. Training & development programmes should be regularly organized and employee skill improved. It will have a positive impact on the employees and the image of the organization will be improved. It will also reduce employee turnover and better employee will look forward to join the organization. High organizational image will contribute towards brand image of the product and services the organization is marketing.

Chp6:leadership

1- Definition

Although many definitions of leadership could be cited, the most would depend on the theoretical orientation taken. Besides influence, leadership has been defined in terms of group processes, personality, and compliance particular behaviour, persuasion, power, goal achievement, and interaction, role differentiation, initiation of structure, and combination of two or more of these (Bernard 1990)1 leader has an ability to lead effectively. He is visionary and accomplishes objective by using discretion (authority). It is generally seen that good leader achieves willing obedience of their subordinates. They follow the leader unquestioned because he fulfills their desires, wants and needs.

Leadership can be defined as influence, that is, the area or process of influencing people so that they will strive willingly and enthusiastically towards achievement of group goals.

People should be brought to such a pitch of their devotion to duty that they not only work willingly, but also work with utmost zeal. The leaders are like front line captain, who not only inspires his soldiers by physical presence but also brings down accurate fire from supporting weapons (utilizing skills) and displays high degree of bravery and is not perturbed by danger of enemy fire. Leader instills values of honesty, takes calculated risk and displays concern for employees and customers. They do not stand and

wait to see in despair things taking shape.

2-Ingredients of Leadership

Every group in the organization has a leader. A successful leader has within him the following ingredients.

a. The ability to use power effectively: A leader inherits power by virtue of his appointment. Known as the legitimate power apart from the above he achieves willing obedience by using one or more of power bases like expert power, referent power, reward and coercive power. Line authority also facilitates to influence subordinate.

b. An ability to comprehend: Human beings have different motivational needs at different times and situations. The ability to comprehend relates to understanding people, their needs, expectations and what a leader has been doing to satisfy them.

This is a continuous process that gives a leader the understanding of his subordinates and an ability to explore the situation to his advantage to get the organizational goal achieved.

c. Ability to inspire: Inspiration is best judged when subordinates work with zeal in hopeless situation. Leader must identify each individual's capabilities, skill and inspire them. Inspiration emanates from a leader who may have charm, an appeal, devotion to duty, which subordinates further want to enhance them by loyally obeying the leader willfully. Inspirations also come from charismatic personality of the leader. Subordinates promote what leader desires.

4. Leadership style: Leadership style is firstly the ability of a leader to act in a manner that will develop a climate conducive to the response from the led and secondly arouse motivation among the employees, leader must design and maintain an environment for efficient performance. He should identify motivational needs,

desires of the subordinates and work out a plan that fulfills motivational needs and aspirations of the employees. Organizations practices must include appropriate reward system, freedom of action in work environment, recognition, open communication system and very informal and cordial behaviour pattern among various layers of organizational structure. Leaders must be participative, face the same problems as his subordinates, work in the identical environment and not show the signs of tiredness. He must be loyal to his subordinates and follow an appropriate leadership style taking into consideration the organizational climate and the environment he has to work. His approach must be reconciliatory.

3- Theories of Leadership

-Trait Theory of Leadership

Not all managers are effective leaders and not all leaders are effective managers. It is therefore difficult to identify effective managers and leaders. Early studies of leaders defined them by traits they were supposed to exhibit. Sometimes it was also called “attributes” that the leader possesses. The theory therefore was called “trait theory” or attribute theory of leadership. It is also known as “great man’s” theory. A leader might be described as loyal, brave, trustworthy or companionate. But all these qualities may not be found in a successful leader. Therefore long list of unending traits may be listed as desirable for a leader. Despite these difficulties, Davis3 has identified four characteristics that leader tends to have. They are more likely to be present in middle and upper-level managers than in those who hold lower-level supervisory positions. Their characteristics are as under

. Intelligence: leaders tend to have higher degree of intelligence than their followers.

. Social maturity and breadth: leaders have a tendency to be emotionally mature and to have a broad range of interests. They are members of some what exclusive social club.

. Inner motivation and achievement drives: leaders want to accomplish things, when they achieve one goal they seek out another. They are inner motivated and do not depend on outside forces for their motivation.

. Human relations attitude: Leaders are able to work effectively with other persons They understand that to accomplish any task they must be considerate of others.

Many studies of traits have been undertaken. Ralph. M.stogdill4 found following traits in a effective leader:

a-Physical Traits

Such as Energy, appearance, height, intelligence, ability and personality traits such as adaptability, aggressiveness, enthusiasm and self-confidence. They also have task related characteristics such as achievement drive, persistence and initiative and social drive like cooperativeness, interpersonal skills and administrative ability.

Not all leaders possess all the traits. Trait theory of leadership gives no guidance as to how much of any trait a leader should have. The theory is not conclusive. Most of the traits identified in successful leaders are actually the pattern of behaviour.

b- Leadership Skills and Style

Another way of analyzing leadership behaviour in terms of skill possessed by the leader. There are three types of skills, which are required to be used appropriately at different levels of management.

Human skills are important for all the levels of management. They

are concerned with interpersonal relationship between managers and other persons who come in contact with the leader. The leaders apply internal motivation to the employees so that their willing obedience and cooperation is obtained. Technical skill involves the ability of employees to know the technical aspect and operation and maintenance of machine, tools and allied fixture they work with. Lower level managers who are in close contact with workers have to know it in greater details as compared to higher managerial cadre. The former spends considerable time on utilization of technical skills. Conceptual skill involves the ability to view the organization in strategic term. It is most important for top level management where long term planning and futuristic thinking is required. As managers move to higher position in the organization they must develop and utilize the conceptual skill increasingly. But at times managers are found wanting of this skill. Training,

development and exposure to various situations would make the managers to cope up with higher responsibility, based on skill, maturity and understanding.

3-Leadership styles and behaviour.

a-LEADERSHIP STYLES BASED ON AUTHORITY

Autocratic leadership: This type of leadership is practiced by the managers concentrat- ing on power and authority within themselves. Leader expects high degree of compliance by subordinates. he is dogmatic and positive in his approach. Manager exhibiting this type

of style has the ability and enforces decision by use of rewards and fear of punishment.

Communication tends to be primarily in one direction from manager to follower. Some autocratic leaders are seen as

“benevolent autocrat.” Though they listen considerably to their followers’ opinion before making any decision, the decision remains to be their own.

They seemingly consider their subordinate’s ideas but when it comes to decision making they are more autocratic than benevolent. An advantage of autocratic leadership is the speed of decision-making, as the leader does not have to obtain group members approval.

Democratic or Participative Leadership

In contrast to autocratic leadership, democratic or participative leader consults subordinates, encourages participation in decision-making. In the process of interaction with subordinates, democratic leader suggest actions or decisions and obtains views of those under him. He has respect for subordinates views and does not act without their concurrence.

The leader is supportive. This style of leadership has various advantages, which include high morale and support of subordinates, smooth implementation due to subordinates being party to decision making. Because of the participation of subordinates, the quality of decisions is better as compared to the autocratic leader. Disadvantages include slower decision, lack of accountability for decisions per se and possible compromise in the process of trying to please majority of the people involved in decision-making.

Laissez-faire Leadership

A leader who practices laissez-faire leadership is also called “free rein” leader who uses his power very little giving subordinates full freedom of action and independence for setting their goals and means of achieving them. This type of leaders depends heavily on

subordinates and see their role as one of aiding the operation of followers by furnishing required information when asked for and acts only as contact between various departments and outside agencies (external environment). Here the leader attempts to exercise very little control or influence over the group members. Such type of leadership style promotes individual growth and freedom of action for goal setting. However, the loose control by the leader over the group may lead to lack of group cohesiveness and unity of purposes toward organizational objective. This may ultimately lead to inefficiency and even worse to chaos.

Which leadership style is best? Mc Murry5 argued for what he called “Benevolent autocracy” by managers towards their employees. This compassionate but dictatorial approach was based on the fallowing premises:

Benevolent Autocracy

. Most top managers have hard driving, autocratic personalities. Therefore they find participative management difficult to accept.

. Significant decisions affecting firm must be made by top management because of the potential damage that could result from a poor decision.

. Many members of large bureaucracies are in reality security seekers who do not wish to share in the decision-making process.

. Participation may be interpreted by employees as their right to veto managerial decisions and to generally become lax in their work behaviour.

The use of any style will depend on the situation. Managers may be highly autocratic in emergency or when they are custodian of a particular solution. The same leader may be participative when he wishes to find alternative solutions to the problem. Model discussions are carried out in the Defense Services to arrive at a